

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

SM LINE CORPORATION, *Respondent*.

DOCKET NO. 23-01

Served: March 12, 2025

ORDER OF: Mary A. HERVEY, *Administrative Law Judge*.

ORDER FOR SUPPLEMENTAL INFORMATION

Complainant Samsung Electronics America, Inc. (“SEA”) initiated this proceeding by filing a complaint against Respondent SM Line Corporation (“SM Line”) with the Federal Maritime Commission (“FMC or Commission”), alleging Respondent violated 46 U.S.C. §§ 41102(c), 41104(a)(15), and 41104(a)(14), and seeking an award of damages. On December 21, 2024, the proceeding was reassigned to the undersigned ALJ.

Upon review of the record, the undersigned finds that it has not been fully developed due in large part to the parties’ failure to work diligently to narrow the issues for hearing. In this regard, despite that extensive discovery was conducted,¹ the parties dispute the vast majority of the more than 500 total proposed findings of fact submitted in this proceeding. Additionally, the authenticity and admissibility of seminal documents has been challenged. For example, SEA challenges the authenticity and finality of the service contracts and tariffs SM Line contends govern the shipments at issue despite that SEA has not identified or produced other contracts supporting its allegation that SM Line was required to ship its cargo under “store door” terms.² Similarly, SEA denies that the entities that SM Line claims executed the service contracts under which SEA’s cargo was shipped are affiliates of SEA on the ground that the term “affiliates” and time period were not defined.³ Finally, SEA does not specify with particularity the number of shipments at issue, number of charges at issue, or the dates of the first and last shipment, but rather make general references to 7000+ shipments and the years during which they occurred. SEARPPF ¶ 67; Complaint ¶¶ 16 and 17.

Because much of probative evidence in this proceeding is peculiarly within the knowledge and control of the parties, the undersigned finds that their failure to work diligently to narrow the issues for hearing negatively impacts the ability of the undersigned to conduct a fair

¹ The record shows that the parties deposed nineteen fact witnesses and five expert witnesses, exchanged two expert reports on damages and four expert reports on liability, and produced thousands of pages of documents.

² SEARPPF ¶ 2 (Complainant Samsung Electronics America, Inc.’s Response to Respondent’s Proposed Findings of Fact is referenced herein as “SEARPPF” followed by the paragraph number); Complaint ¶ 28.

³ SEARPPF ¶ 3.

hearing in accordance with the requirements of the Administrative Procedures Act 5 U.S.C. §§ 554, 556, 557. Pursuant to 5 U.S.C. § 556(c)(4), a presiding officer is permitted to take depositions when the ends of justice would be served. The term deposition allows for the taking of a deposition by written questions. 46 C.F.R. § 502.144.

For the foregoing reasons, Complainant and Respondent are directed to supplement the record by answering the questions set forth below. Their answers should be received no later than April 2, 2025. Both responses shall be signed under oath and subject to the penalty of perjury in accordance with 28 U.S.C. § 1746.⁴ In addition, Complainant and Respondent are also directed to supplement the record by filing supplemental appendices containing the documents specified in this order. To the extent that any document requires authentication, both parties are directed to submit an affidavit establishing authenticity that has been executed by the appropriate custodian of records. Both parties are on notice that the failure to answer these questions or produce the requested documents may give rise to adverse inferences, default, or dismissal.

To the extent necessary, the parties may file both confidential and public versions of their responses. This order is not intended to extend the deadline within which to complete discovery.

Requests for Information Directed to Complainant and Respondent:

1. What is the precise number of shipments are at issue in this proceeding?
2. What is the precise number of charges are at issue in this proceeding?
3. What is the date of the first and last shipment at issue in this proceeding?
4. State whether the record includes a container-by-container summary of the charges assessed against SEA, and, if so, specify by Bates stamp number where it is located in the record. To the extent not already done so, please produce the summary on an Excel spreadsheet.
5. State whether or not the shipments at issue in this proceeding are subject to the terms of the service contracts located at RX_0002303-2315, RX_0002335-2348, RX_0002369-2382, RX_0004523, RX_0004546, and RX_0004567.
6. If your answer to paragraph 5 is affirmative, please state the date on which each of the service contracts was fully executed.
7. If your answer to paragraph 5 is affirmative, please provide fully executed copies of each service contract to the extent not already in the record along with any other documentation showing that the agreements were fully executed, including but not limited to emails.

⁴ Pursuant to 28 U.S.C. § 1746, the parties should execute and sign their responses at the end of the document as follows: "I declare (or certify, verify, or state) under the penalty of perjury that the foregoing is true and correct. Executed on (date). (Signature)."

8. If your answer to paragraph 5 is affirmative, for each contract please identify the Samsung entity that executed the agreement and describe the legal relationship between SEA and each Samsung entity during the relevant time frame.
9. If your answer to paragraph 5 is negative, please explain why the parties are not bound by the terms of the service contracts referenced in paragraph 5.
10. If your answer to paragraph 5 is negative, please identify all service contracts governing the shipments at issue in this proceeding, state what Samsung entity executed each agreement, and describe the legal relationship between SEA and the Samsung entity that executed the agreement. Provide fully executed copies of each service contract identified.
11. State whether the service contracts governing this proceeding were filed with the Federal Maritime Commission.
12. Identify all tariffs applicable to the shipments at issue in this proceeding. Provide copies of all applicable tariffs to the extent not already in the record.
13. State whether or not the applicable tariff was incorporated by reference into the applicable service contracts, and provide a pin-point citation to each provision in which the incorporation by reference has been made.
14. State whether the shipments at issue in this proceeding are subject to SM Line Tariff Rule SMLine_700 at RX_0004483–84.
15. Identify all agreements in which SM Line agreed to provide shipping services at “super all-in rates,” and/or “store door” terms with respect to the shipments at issue. Provide fully executed copies to the extent not already in the record.
16. Please state whether or not SEA is the consignee on the bills of lading at issue in this proceeding, and if not identify its role with respect to the shipments at issue.
17. Explain what the document titled “LPS Direct Ship Operation” at RX_0001199 is, state when it was created, state how it was used by SEA, and state whether it was used to train SEA employees, and, if so, when.
18. Set forth the conditions of carriage on SM Line’s standard bill of lading for the shipments at issue.
19. State whether or not SEA paid the following invoices that it now claims that SM Line billed in violation of OSRA: CX_005597, CX_005598, CX_005599, CX_005600, CX_005595, CX_005596. To the extent payments were made, supplement the record with proof of payment.

20. State whether or not SEA disputed any of the charges at issue prior to putting SM Line on notice that it intended to file a complaint under the Shipping Act. If charges were disputed, please identify the charge disputed, provide the container number that incurred the charge, and set forth the date and manner in which each charge was disputed. Provide copies of all documents related to the dispute, including but not limited to emails in which charges were disputed by SEA or reflect actions taken by SM Line in response.

Mary A. Hervey -S

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Date: 2025.03.12 12:06:33 -04'00'

Mary Apostolakos Hervey
Administrative Law Judge